

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$114.30 ▲ 1.53%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.86	Market Cap \$102.76B
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HOOD: Tokenization Fight Heats Up, Crypto Rails Winning

WHAT HAPPENED

- HOOD bounced +1.5% after a 4-day slide, and the driver is a real story: their own blockchain (built for tokenized stocks) is now generating more fees than Ethereum. That's the market waking up to the fact that HOOD isn't just a broker anymore — it's building financial rails.
- The AMC CEO publicly slammed Robinhood's stock tokenization push (basically letting Europeans buy "tokens" that represent US shares), and CEO Vlad Tenev fired back. Noisy, but it tells you tokenization is now the debate — and HOOD is the one setting the terms.

WHY IT MATTERS

The Motley Fool piece on HOOD's blockchain out-earning Ethereum is a bigger deal than it sounds — it means HOOD is capturing the *infrastructure* economics of trading, not just the commission. That's a structurally higher-margin business, and the market is slowly repricing HOOD from "meme broker" to "fintech platform." Separately, the court ruling that prediction markets are gambling (hitting DKNQ/FLUT) is a subtle negative for HOOD's Kalshi partnership on event contracts — worth watching but not thesis-breaking. Big picture: with a Trump-era SEC that's openly pro-crypto and pro-tokenization, HOOD has a regulatory tailwind that was unthinkable 18 months ago.

POLICY & POLITICAL WATCH

The key policy tailwind is the CLARITY Act (crypto market structure bill) making its way through the Senate after passing the House — if it passes, it gives crypto exchanges and tokenization platforms actual legal certainty, which directly benefits HOOD's tokenized equities and Bitstamp business. Meanwhile, the SEC under the current administration has quietly dropped multiple crypto enforcement cases, which is why HOOD felt safe launching stock tokens in the EU with US expansion clearly on the roadmap. The one policy risk to track: the prediction-markets ruling could trigger CFTC/SEC turf battles that spill into event contracts — a smaller but growing HOOD revenue line.

IS IT EXPENSIVE?

At ~\$103B market cap on ~\$4.2B expected revenue, you're paying about \$24 for every \$1 of sales — rich versus a traditional broker like Schwab (~\$6), but crypto-heavy peer Coinbase trades at similar multiples with shrinking revenue. Forward P/E of ~62x (you pay \$62 for every \$1 of expected earnings) is only justified if HOOD keeps compounding revenue 30%+ and tokenization becomes a real business. It's not cheap — but it's not insane either if you believe the platform story.

Key Data

Price (USD)	\$114.30
12M Price Target	\$135.00
Upside / (Downside)	+18.1%
Market Cap	\$102.76B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	61.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$118.00	\$100.00
6 Months	\$145.00	\$125.00	\$90.00
1 Year	\$175.00	\$135.00	\$80.00
2 Years	\$220.00	\$160.00	\$70.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.26%) leading — mega-cap tech and platform businesses are back in favor as rate-cut expectations firm up. Financials with crypto exposure quietly outperforming on the pro-crypto policy tone.

COOLING OFF: Energy (-0.68%) and Real Estate (-0.55%) — classic "risk-on rotation" signal, money is leaving defensive/rate-sensitive names.

ROTATION WATCH: Money is flowing into fintech/crypto-adjacent platforms as Washington signals green lights on tokenization and stablecoins. That's a direct tailwind for HOOD.

RELATED PLAY: If HOOD's tokenization thesis works, the picks-and-shovels winners are the custody/infrastructure names — Coinbase (COIN) for institutional custody, and stablecoin issuers benefit indirectly. Interactive Brokers (IBKR) is the "boring" way to play retail brokerage strength without the crypto volatility.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same pro-crypto policy wave, though revenue is actually shrinking — HOOD is winning on growth.
- IBKR (Interactive Brokers): Boring but crushing it on international expansion and rate income — the "quality" trade in the space.

HOOD CONTEXT: HOOD is leading its peer group on the narrative (tokenization, blockchain revenue) but lagging COIN on YTD price. That gap tends to close when a catalyst hits — and CLARITY Act passage would be exactly that catalyst.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Real business momentum plus a friendly Washington, but the valuation demands things go right.

POSITION SIZE: 3-5% of portfolio — enough to matter if it works, small enough that a 30% drawdown doesn't ruin your year.

ENTRY POINTS: The stock just pulled from \$117 to \$112 — I'd scale in around \$105-112 on any macro-driven dip. Options flow (put/call at 0.34, very bullish) says smart money is positioning for upside, so I wouldn't wait for a huge pullback.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is CLARITY Act passage and tokenization revenue actually showing up as a reported segment.

WHEN TO BAIL: If monthly active users decline two quarters in a row, or if the SEC/CFTC reverses course on tokenized securities — that breaks the whole thesis.

HEDGING: Simplest way — buy a put option 10-15% below your entry as insurance, costs a small premium. Or just size the position smaller so a bad quarter doesn't force you to sell in a panic.